



The Future of Transportation: The New Normal

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Commissioner, MnDOT
October 14, 2010

Highway 169 Corridor Coalition Annual Meeting

Your Destination...Our Priority









The New Normal

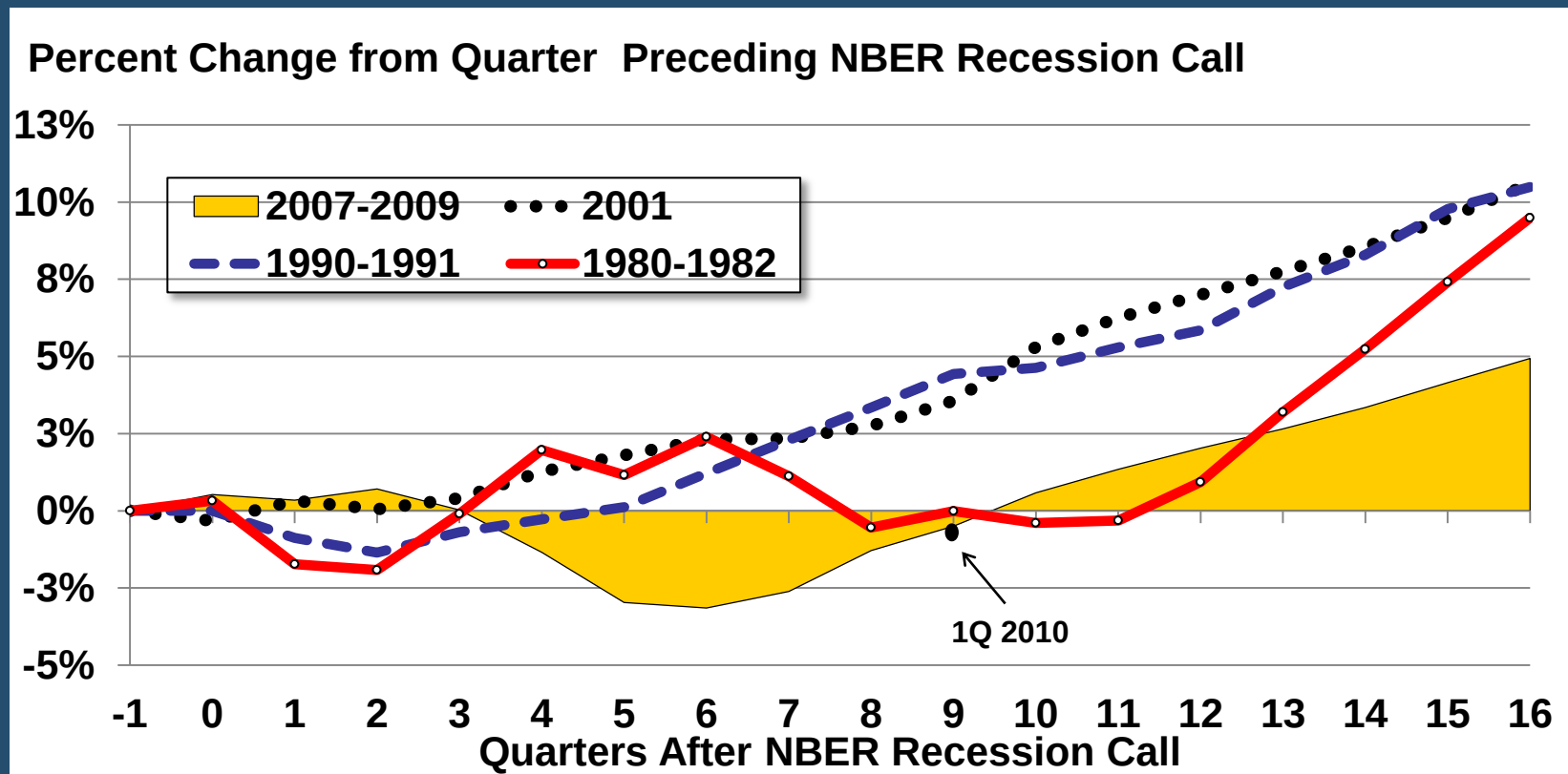




Recent Economic and Demographic Events Have Changed the Outlook for as Far as We Can See

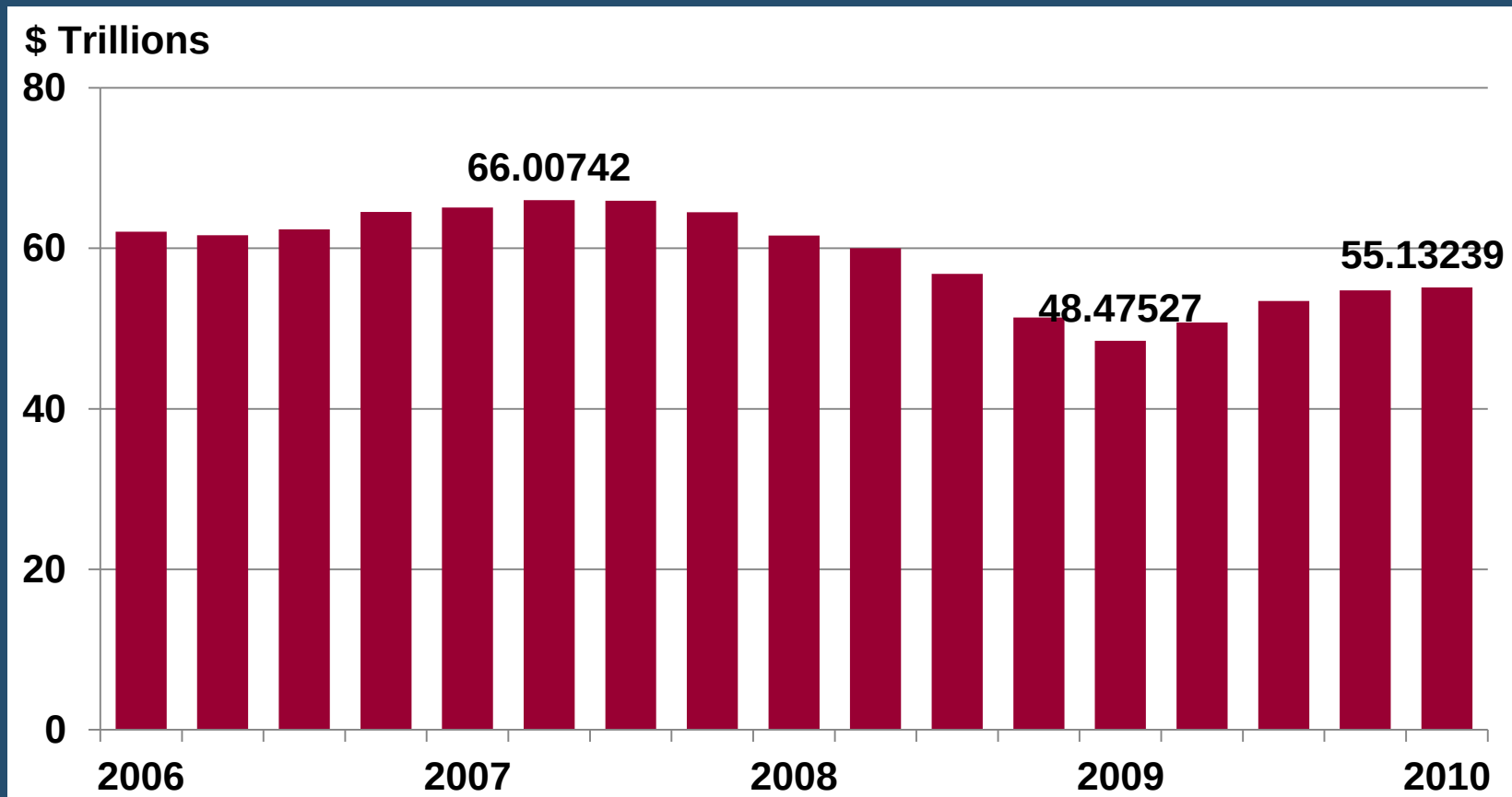


This Recession Was More Severe Than Those of 1990-91 and 2001



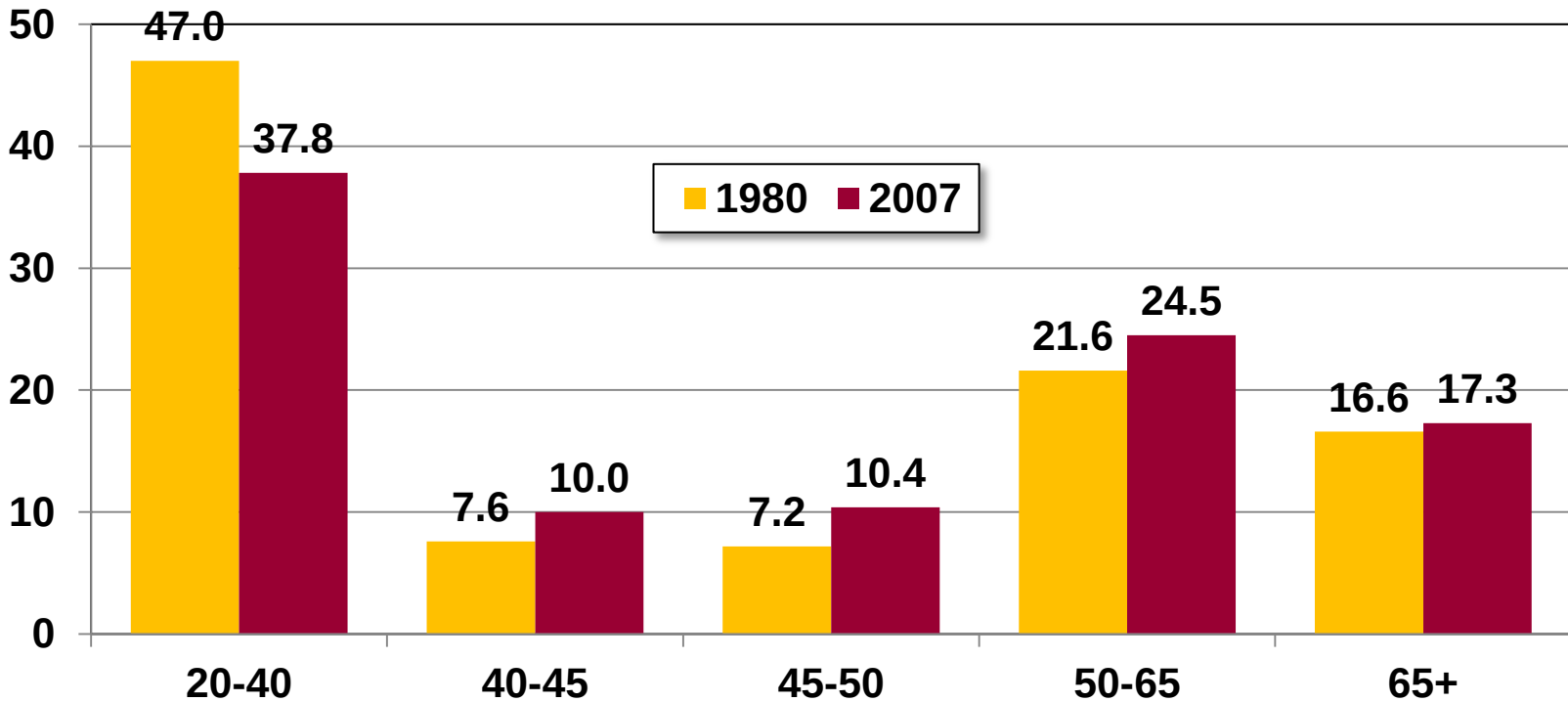


Household Net Worth Fell by More Than \$17 Trillion Dollars

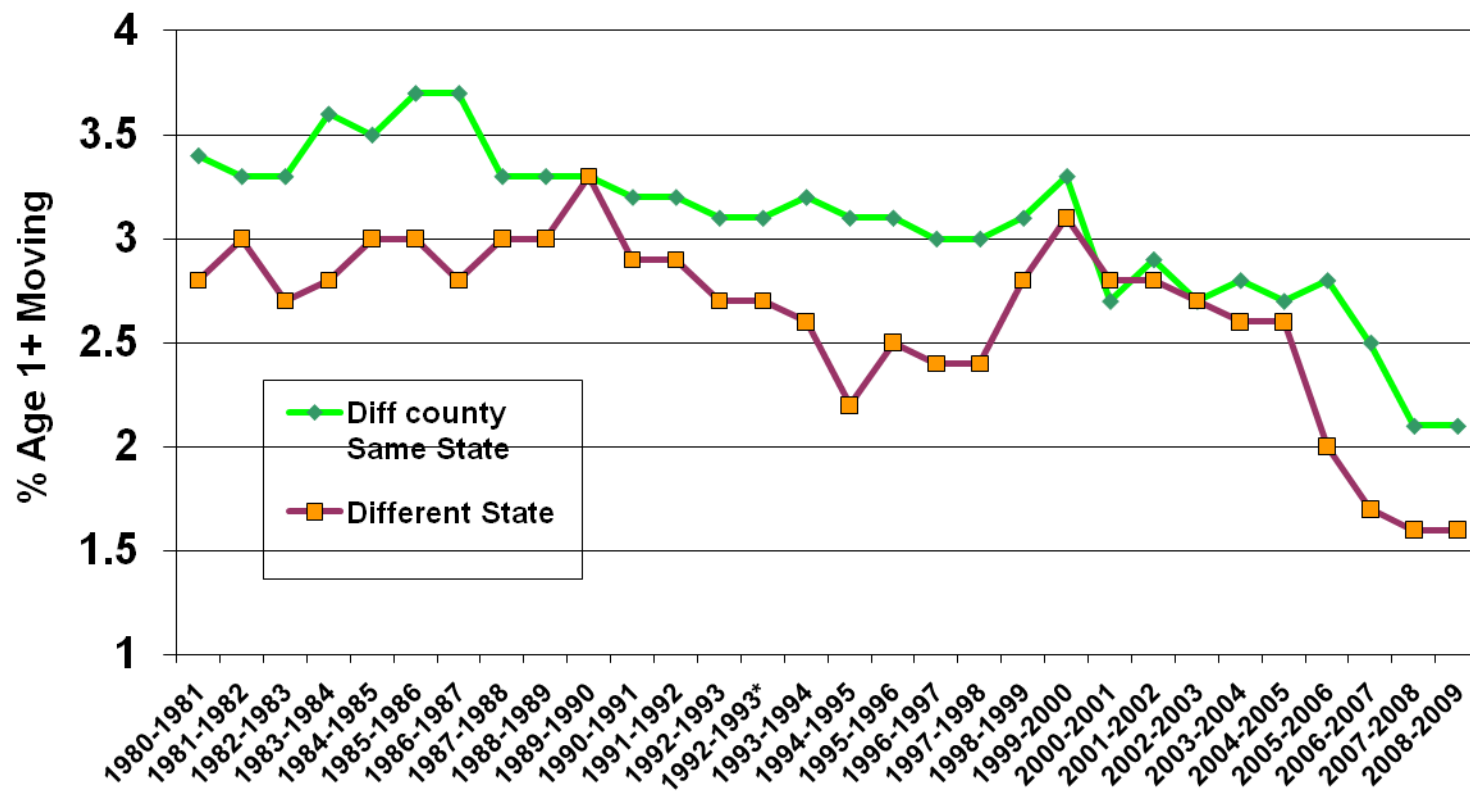


The Age Distribution Has Changed

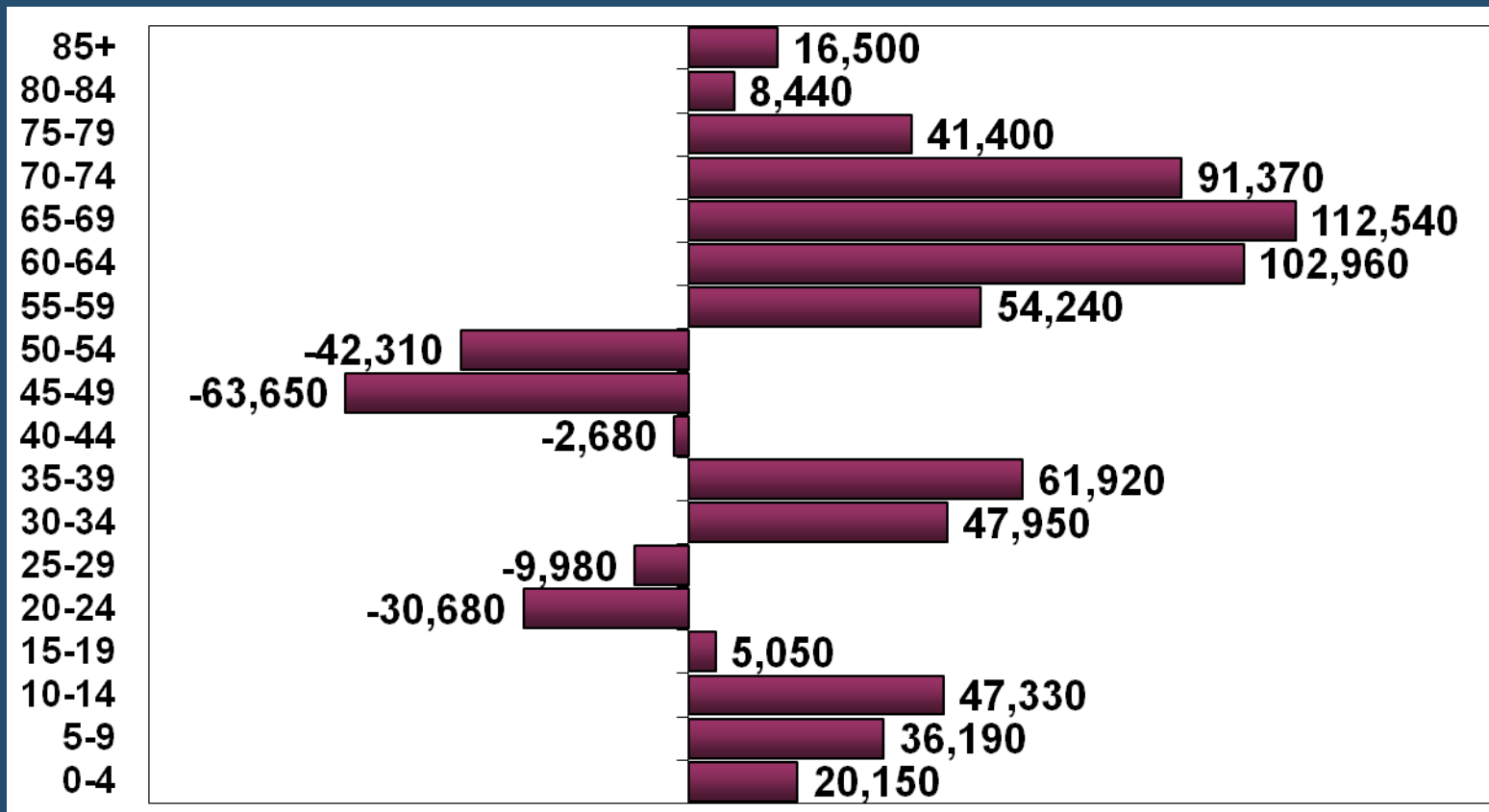
% of Population
Over Age 20



National Mobility Has Fallen To Its Lowest Point Ever Recorded

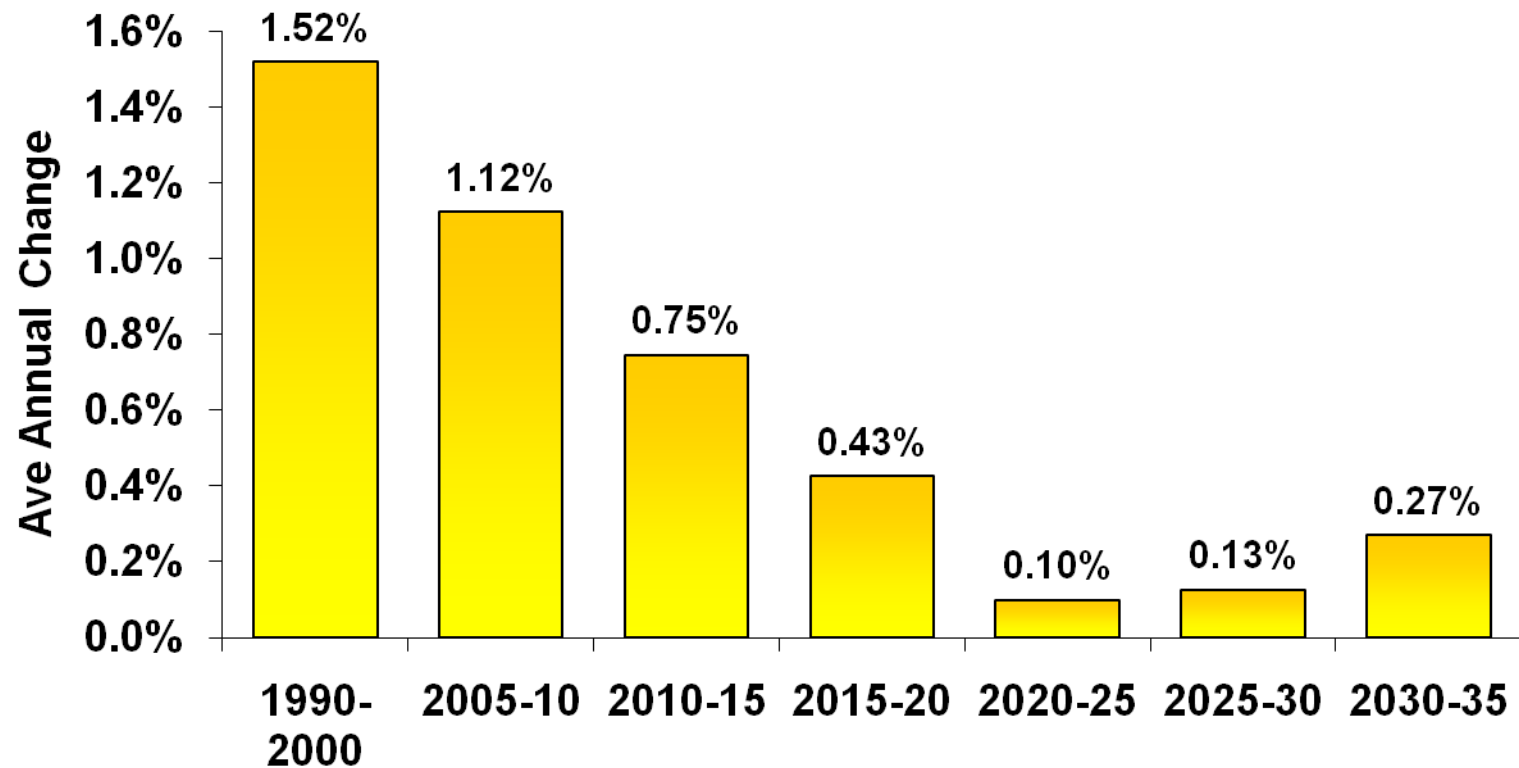


See Large Increases Age 50s and 60s



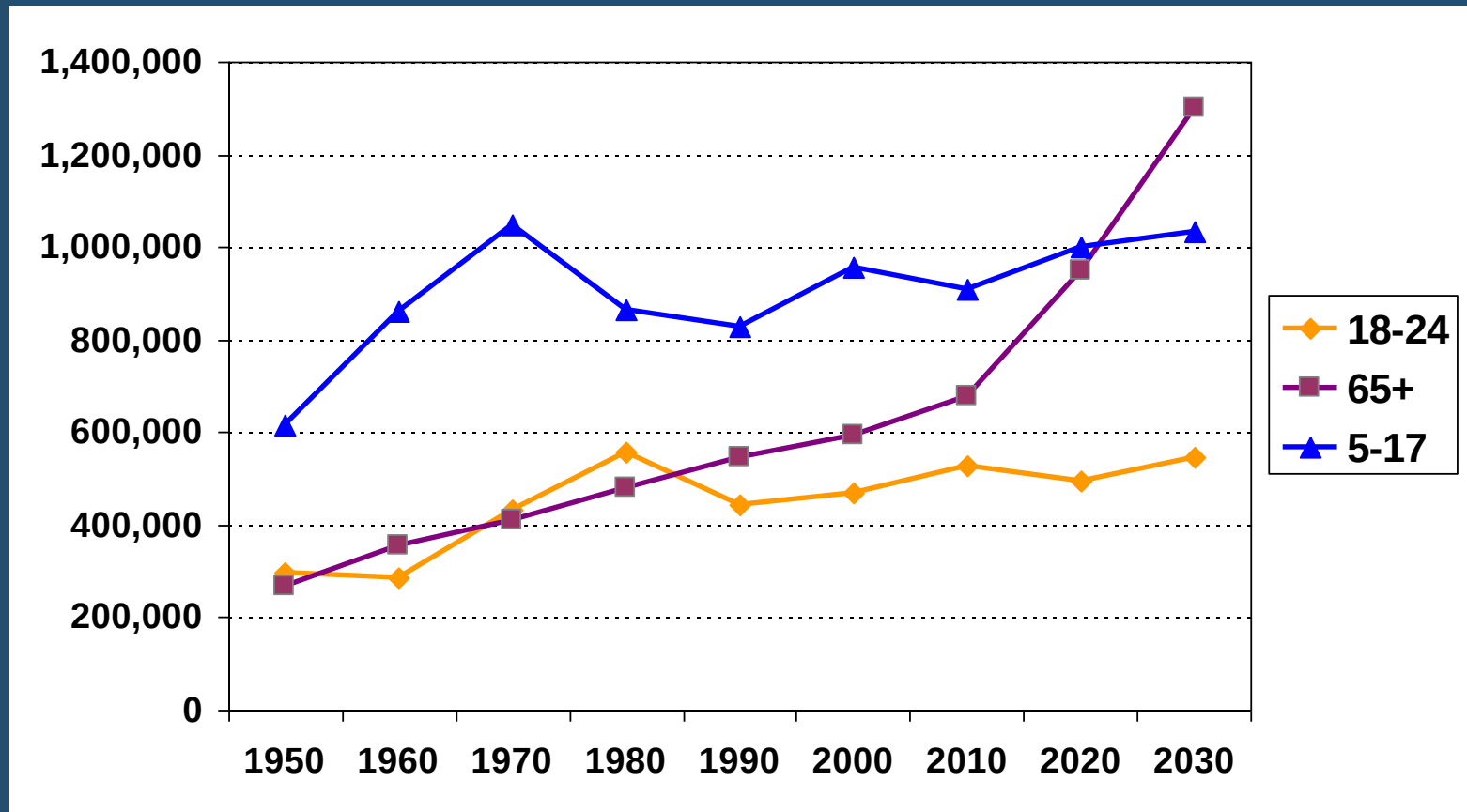


Labor Force Growth Is About To Slow Sharply



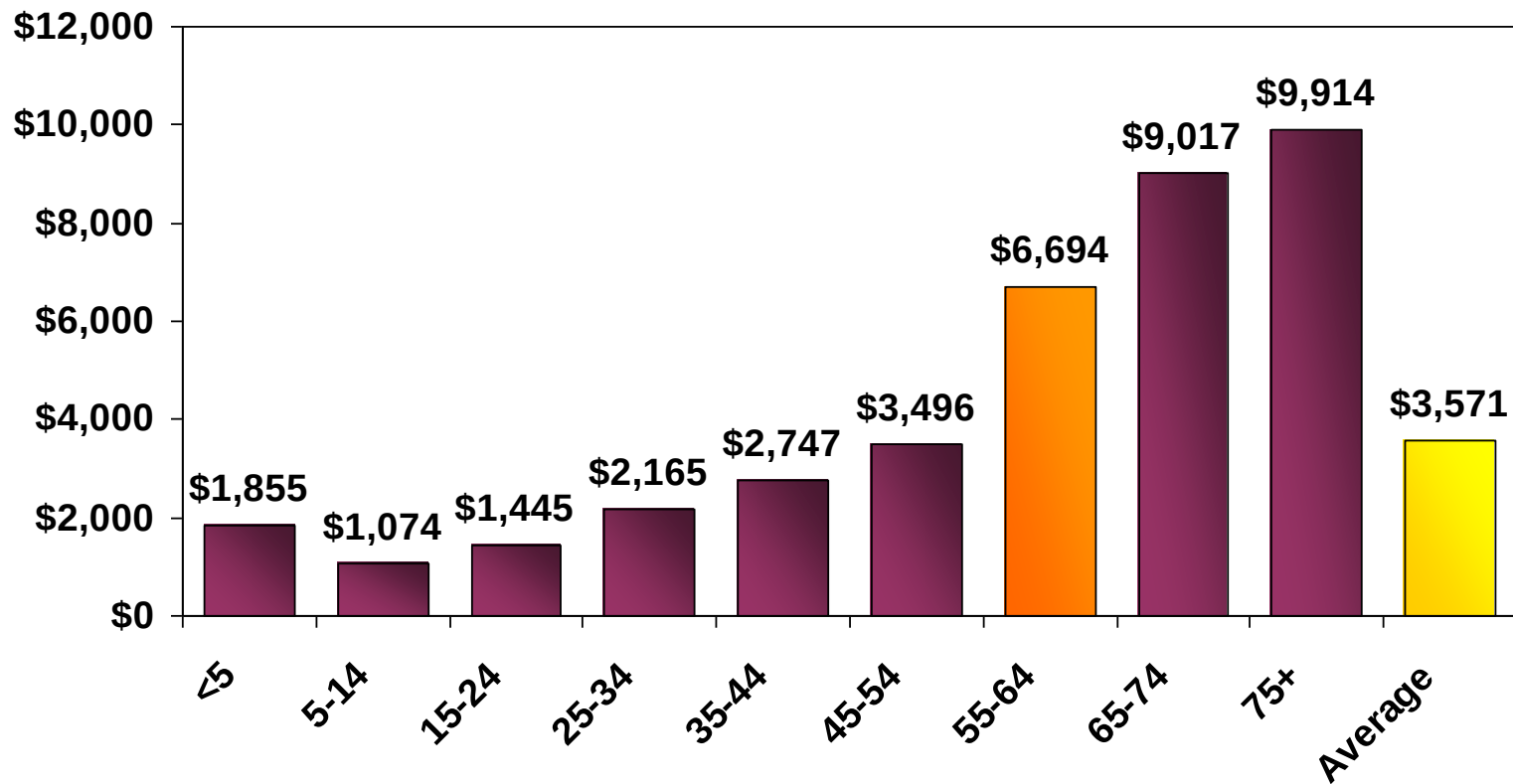


More 65+ Than School Age by 2020



Health Care Spending Jumps After 55

U.S. Health Care Spending By Age, 2004





**The Old Normal
+ The Great Recession
+ Long Run Demographic Changes
= The New Normal**



The “New Normal” Probably Means

- Higher interest rates
- Slower economic growth
- Increasing numbers of retirees
- Less consumption; more saving
- A more diverse population
- More uncertainty in our personal & national futures
- More uncertainty about the future





The Great Recession Has Been Blamed for Raising the Level of Social Angst

But What Is Really Happening
Is That We Have Entered A
“New Normal”





But Why Fear The New Normal? It Plays To Our Strengths!

- Future economic growth will depend increasingly on increasing productivity and less on labor force size
- Education has been the key to productivity and prosperity
- Future productivity increases will depend on decisions and the investments we make now
- ***Public Sector Productivity Growth Will Be Essential***





***“Making Things Better”* May Offer the Greatest Potential**

- Cost cutting efforts have focused on transactional jobs
- Largest future productivity gains are likely to come from investments that lead to better outcomes
 - Lower lifetime health care costs, reduced recidivism rates, improved graduation rates
- Adapting service delivery plans to meet the needs of the “New Normal”





- **Restructure government costs**
- **Replace retiring government workers wisely**
- **Re-engage the growing retiree population**
- **Restore entrepreneurship, initiative, innovation in the private and public sectors**





Responding to the New Normal: The Role of Sustainability

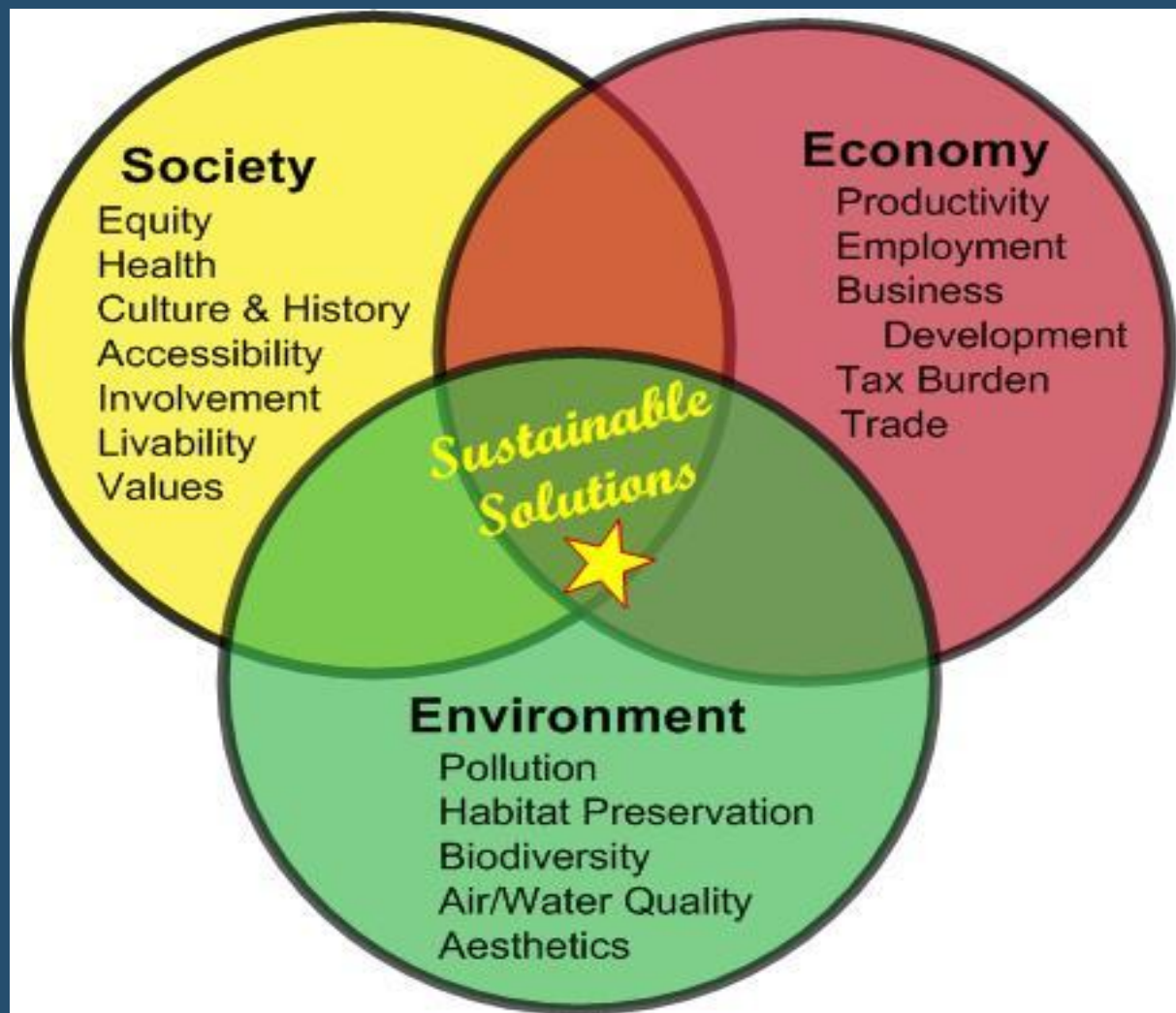




MnDOT Policy Statement

Sustainable transportation practices respect, support and (where possible) regenerate environmental systems, the economy and society over many generations. This requires balancing three components:







To ensure the sustainability of the transportation system and the communities it serves, Mn/DOT will:

- Use all resources wisely
- Consider the needs of future generations
- Evaluate a wide range of risks
- Protect and enhance the environment
- Conserve energy and natural resources
- Involve the public in the transportation planning process
- Improve quality of life
- Encourage innovative approaches to the design, operation and maintenance of our facilities.





- **EJAM: Sustainability Coordinator**
- **Sustainability Flagship Initiative**
- **State Smart Transportation Initiative (SSTI)**





The Need for Organizational Congruency





Mn/DOT Strategic Vision

- Global leader in transportation committed to upholding public needs and collaboration with internal and external partners to create a safe, efficient and sustainable transportation system for the future.





Mn/DOT Mission

- Provide the highest quality, dependable multi-modal transportation system through ingenuity, alliance, and accountability.



Mn/DOT Strategic Directions

- Safety
- Mobility
- Innovation
- Leadership
- Transparency





Mn/DOT Organization

Citizens of Minnesota



Legislature/Governor



Mn/DOT



“Serve to Lead”





Congruency is Essential !





Responding to Quality of Life





QOL Pilot Study

- What does quality of life mean to Minnesotans?
- How does transportation influence their quality of life?
- How does transportation fits into the larger quality of life mix?





Understanding Quality of Life

- Are things that influence transportation QOL in alignment with Mn/DOT's Strategic Directions?
- Is Mn/DOT actively contributing to QOL in Minnesota?
- Which things that influence transportation QOL are we not addressing?





Creating Customer Driven Measures

Expectation



Outcome



Measure

"I expect Mn/DOT to make good, decisions about how my money is spent!"

Minnesotans are informed of Mn/DOT's plans and investments and trusts its use of resources

U of M annual Omnibus survey measure:

"Mn/DOT acts in a financially responsible manner"





Understanding & Applying QOL Knowledge

1. What does QOL mean to our customers (Minnesotans)?
2. Which (major) factors do they align with QOL?
3. How does transportation fit into this larger QOL mix?
4. Which (specific) transportation-related factors influence QOL in MN?
(Transportation-related QOL Contributors & Detractors)

Steps 1-4:
Focus Groups begin with a metro pilot, then move to a larger scale, statewide

5. Which of these transportation QOL influencers are in alignment with MnDOT's Strategic Directions and which are not?

Where is MnDOT in alignment and actively contributing to the QOL in MN?
(Communication Opportunity)

Which influencers are not being addressed today? Explore these influencers for alignment with our long term plans and Strategic Directions.

Step 5:
Review and align the new learning to MnDOT's Current Service Delivery and Strategic Directions

6. Among those influencers in alignment with Strategic Directions, list expectations, draft outcomes, create measures and then baseline MnDOT's performance.

7. Create an *ongoing* measurement plan to track MnDOT's progress against the factors influencing QOL in MN

Steps 6-7:
Quantitative Measurement Plan (Baseline & Ongoing Tracking)

Arrow indicates this is a journey, we'll be paving a new path and open to modifying our approach as the process unfolds -- should new learning expose a better way...





Pilot Study Methodology

- Held multiple focus groups around the state
- Focus groups were segmented by community and life stage
- Used census data to identify differing demographic communities





Learning What QOL Means to Minnesotans...

- Quality of life is subjective, personal
- People are passionate about what quality of life means to them
- It's everything that's important, it's security, happiness, joy!





Learning What QOL Means to Minnesotans...

Local amenities

Employment/finances

Recreation

Environment

Safety

Family

Spirituality

Friends/ neighbors

Lack of stress

Health

Entertainment

Arts

Sports

Transportation

Connections





QOL Major Elements and Voting Results

Relative Importance of Factors that Affect Quality of Life

Contributors (in descending order) Inhibitors/Detractors

A contributor to QOL

An inhibitor /detractor to QOL

- Family Life
- Health
- Friends
- Social Life / Leisure Time / Recreation / Entertainment
- Present Job / Employment
- Education
- Spiritual
- Housing / Accommodations
- Income
- Safety
- **Transportation**
- Present Standard of Living
- Environment
- Neighbors
- Economy's Impact of Your Life

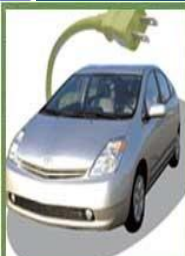
- Economy's Impact of Your Life
- **Transportation**
- Health
- Safety
- Neighbors
- Present Job / Employment Opportunities
- Environment
- Education
- Spiritual
- Income
- Present Standard of Living
- Social Life / Leisure Time / Recreation / Entertainment
- Friends
- Housing Accommodations
- Family Life



Where Do QOL and Transportation Intersect?



2006 Strategic Plan	
Strategic Goals	Strategic Measures
Strengthen Neighbourhoods	Percentage of residents indicating high quality life in neighbourhoods
Expand Local Jobs, Local Prosperity	Number of local jobs created
Increase active participation	20% Physical Activity Challenge
Enhance Sustainability of City Services & Infrastructure	Number of assets associated with Reserve Replacement Funds
Achieve Excellence in Governance	Ta va



THE VISION The Three E's of Sustainability





Transportation Contributors

- Highway access
- High quality roads
- Road conditions
- Safe roads
- Traffic control
- Law enforcement
- Prompt snow removal
- Good bus system
- Road signs
- Light rail system
- Bike/walking trails
- Parking
- Construction
- No toll booths
- Good mobility in general





Transportation Detractors

- Traffic congestion
- Poor road upkeep
- Potholes
- Bus routes cut
- Bus schedules limited
- Few transit destinations
- Few transit options
- Stress of rush hours
- Unsafe roads
- Crazy drivers
- Travel times
- Construction
- High cost
- Traffic signals
- Politicians





What They Want

Customers seek a greater focus on:

- Long-term funding and vision
- More system connectivity
- More project-related communications
- Information about use of tax dollars





Mn/DOT's Online Community

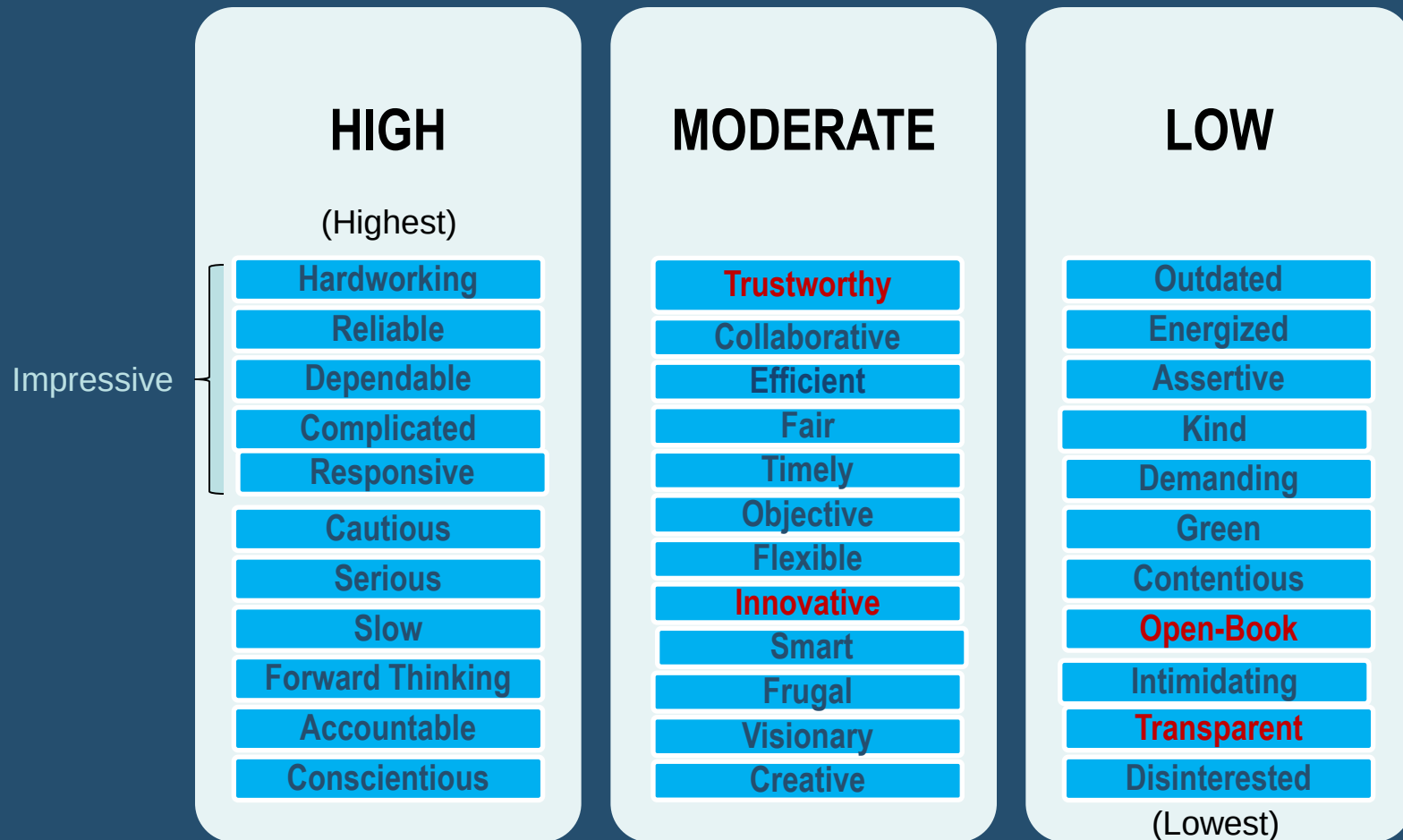
- 600 people invited to participate for one year
- Representative sample of Minnesotans
- Will weigh in on transportation issues via online surveys
- Provide input about their concerns and preferences





MnDOT PERSONIFIED:

Customers select characteristics that reflect their view of MnDOT





It's a Journey

Understanding quality of life will help us:

- Pave a new path based on new learning
- Modify our performance measures approach as we learn what's most important to customers
- Help us find areas of innovation that will respond to quality of life in a positive way





Piecing the transportation puzzle together:

- ✓ We have a “new normal” that we need to acknowledge in our business practices
- ✓ The sustainability umbrella can prompt innovation and creative thinking
- ✓ Organizational congruency is essential for the delivery of proper services
- ✓ Quality of life must be considered in determining best practices and the right investments to move forward
- ✓ We must market innovation to all our customer segments, with an eye on closing the gap between policy and technology



- **Hwy 169 in Twin Cities**
 - **169/494 – cause to celebrate**
 - Tremendous collaboration from all stakeholders
 - Performance based design
 - Sustainable approach to interchange construction
 - **MnPASS II Study**
 - Hwy 169 is identified as Tier 3 corridor
 - Congestion relief without expansion
 - Provides commuters with a choice





- **Hwy 169 in St. Peter, Minn.**
 - Award winning project
 - St. Peter has sustainability focus
 - Water treatment facility
 - Food co-op in downtown
 - City recycling efforts
 - Hwy 169 project fits as sustainable
 - Accessibility, pedestrian access, wider roadway with good parking, through lanes











- **State-wide coalition meeting in December**
 - **45 active coalitions across the state**
 - 169 Corridor Coalition serves as great example
 - **Purpose of December gathering**
 - Learn what the issues and needs are
 - Find common issues – strength in numbers
 - Are there practices that can be shared?
 - Explore sustainable corridor coalition concepts: social, economic, and environmental





“The Iroquois tribe’s rule for leaders was that they should consider the impact of their decisions on their children, their children’s children, and unto seven generations. The imperative that leaders are guardians of future generations mandates that they be good stewards and include a vision for a sustainable future.”

- Juana Bordas

Salsa, Soul, and Spirit: Leadership for a Multicultural Age





**“Stay thirsty my
friends”**





Thanks!!

